

Kingdee International

Cloud execution improving; AI upside and competitive impact remain to be proven; assume coverage at Neutral

We assume coverage of Kingdee International at Neutral with a Dec-27 price target of HK\$8.3, based on 20x 2028E P/E. Kingdee enters the AI transition with improving fundamentals after a decade-long Cloud migration. Our 2026-28E revenue and profit forecasts are broadly in line with consensus, suggesting that much of the underlying Cloud improvement is already reflected in expectations. AI creates meaningful optionality as agents expand the amount of enterprise work addressable by software, while Kingdee controls enterprise data, permissions, business rules and transaction execution required for many workflows. The financial impact remains early, however, and competition for the workflow is widening as general-purpose agents and AI-native enterprise products can increasingly sit above incumbent ERP systems. At 26x 2027E JPMc P/E, we believe risk-reward is balanced until AI becomes more visible in consolidated ARR, customer spending and FCF.

- **Cloud provides a more visible earnings foundation, with execution broadly tracking consensus.** Cloud revenue has reached 86% of group revenue, with subscription revenue up 20.4% YoY and ARR 18.3% in 1H26, while gross margin reached 67.7% and revenue per employee increased 20.8%. We expect high-teens recurring growth and continued operating leverage through 2028E, with our revenue and profit forecasts broadly in line with consensus. Further upside, therefore, increasingly requires stronger consolidated growth or cash conversion.
- **AI expands the workflow opportunity, while incremental economics remain to be established.** AI-native revenue increased 189% YoY to Rmb296mn in 1H26, including Rmb146mn of AI-native subscription revenue, up 283%. Agents create a path from seat- and module-based pricing toward usage and workflow monetization, potentially linking software spending to a larger labor and service cost pool. We look for higher AI-enabled revenue to translate into stronger annual contract value (ACV) and net revenue retention (NRR), consolidated ARR acceleration and ultimately incremental gross profit and FCF.
- **Kingdee retains scarce system-of-record assets, while workflow ownership becomes more contested.** Live enterprise state, permissions, business rules, integrations and transaction execution remain difficult to replicate and support Kingdee's role in agent-driven workflows. General-purpose agents and AI-native enterprise products can nevertheless redesign the user interaction and workflow while continuing to use incumbent ERP systems underneath. Lingee gives Kingdee a route to retain more of the incremental AI wallet, but recurring usage, paid attach and contribution to customer spending will determine its economic significance. This balance between durable system-of-record scarcity and increasingly open workflow competition underpins our Neutral rating.

▼ Neutral

Previous: Overweight

0268.HK, 268 HK

Price (23 Sep 26): HK\$7.47

▼ Price Target (Dec-27): HK\$8.30

Prior (Dec-27): HK\$12.00

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J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	0.25	0.24	-4.4%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	95	93	94	96	95
Growth	6	10	10	88	89
Momentum	81	91	45	66	97
Quality	85	91	91	94	94
Low Vol	92	96	95	92	83
ESGQ	7	5	8	2	2

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 18 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 0268.HK Price (HK\$)— HSI (rebased)

	YTD	1m	3m	12m
Abs	-43.8%	-9.4%	20.6%	-53.6%
Rel	-40.7%	-4.9%	14.1%	-48.6%

Company Data

Shares O/S (mn)	3,511
52-week range (HK\$)	17.78-5.63
Market cap (\$ mn)	3,346
Exchange rate	7.84
Free float (%)	79.9%
3M ADV (mn)	51.60
3M ADV (\$ mn)	51.0
Volatility (90 Day)	72
Index	HSI
BBG ANR (Buy Hold Sell)	27 1 0

Key Metrics (FYE Dec)

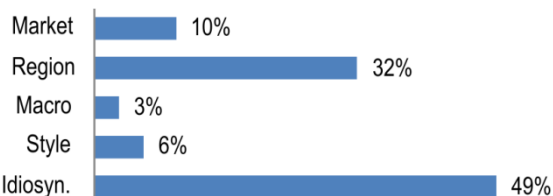
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	7,006	7,941	8,904	10,043
Adj. EBIT	63	409	847	1,379
Adj. EBITDA	756	810	900	1,005
Adj. net income	278	523	856	1,306
Adj. EPS	0.08	0.15	0.24	0.37
BBG EPS	0.03	0.12	0.21	0.31
Cashflow from operations	1,098	1,810	2,328	3,043
FCFF	505	1,065	1,533	2,159
Margins and Growth				
Revenue Growth Y/Y (%)	12.0%	13.3%	12.1%	12.8%
EBIT margin	0.9%	5.2%	9.5%	13.7%
EBIT Growth Y/Y (%)	(125.2%)	549.2%	107.0%	62.8%
EBITDA margin	10.8%	10.2%	10.1%	10.0%
EBITDA Growth Y/Y (%)	10.5%	7.2%	11.0%	11.7%
Net margin	4.0%	6.6%	9.6%	13.0%
Adj. EPS growth	(16278.4%)	88.7%	63.7%	52.5%
Ratios				
Adj. tax rate	88.5%	4.8%	15.0%	15.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	3.4%	6.2%	9.4%	12.9%
Valuation				
FCFF yield	2.2%	4.7%	6.8%	9.6%
Dividend yield	-	-	-	-
EV/Revenue	3.1	2.6	2.1	1.6
EV/EBITDA	28.4	25.0	20.7	16.2
Adj. P/E	80.9	42.9	26.2	17.2

Summary Investment Thesis and Valuation

We rate Kingdee Neutral as its system-of-record position provides meaningful residual scarcity in an increasingly agentic enterprise software environment, while evidence of incremental AI value capture is developing. Financial records, permissions, business rules and workflow execution remain necessary even when agents become the user interface, giving Kingdee a durable role in enterprise automation. AI can expand the amount of finance, supply chain and HR work performed through its platforms, although this would need to translate into higher AI-enabled revenue, ACV, NRR and consolidated revenue growth. We see improving profitability, with further rerating dependent on clearer AI-driven revenue acceleration.

Our Dec-27 PT of HK\$8.3 is based on 20x 2028E P/E. We assign a premium to mature application peers valuing at around 15x 2028E P/E given Kingdee's transition into sustained profitability, its recurring subscription base and strategic position in enterprise systems of record. Our target multiple reflects Kingdee's cloud transition and earnings inflection, while clearer AI-driven revenue acceleration would be required to justify a higher multiple.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.27	0.32
Region: China	0.71	0.60
Macro:		
US 10 Year Yield	0.34	0.27
JPM Global Equity Sentiment	0.15	0.19
HSI Volatility Index	-0.24	-0.18
Quant Styles:		
Size	-0.54	-0.43
Momentum	-0.57	-0.40
Growth	-0.38	-0.23

Industry: AI can expand the enterprise software value pool, with agents changing how that value is distributed

China enterprise software continues to benefit from Cloud migration, large-enterprise digitalization and localization of core business systems. AI adds a potentially larger structural opportunity. China's enterprise software industry historically developed a smaller profit pool than the US, reflecting lower software spending, greater customization and implementation intensity, and a weaker link between software spending and measurable productivity improvement. Agents can strengthen that link by performing work directly.

Traditional ERP monetization is largely anchored to IT budgets, modules and employee seats. As agents perform a greater share of accounting, procurement, supply chain, HR and other operational tasks, willingness to pay can increasingly reference the labor or service cost associated with the work being automated. This creates a path for enterprise applications to participate in a broader spending pool. The monetization unit can evolve from seats and modules toward **usage, actions, workflows and completed work**.

The transition also creates a countervailing effect. Higher output per employee can reduce the number of human users required for a given level of business activity, putting pressure on seat-based revenue. At the same time, machine-generated software consumption can rise as agents continuously retrieve data, check permissions, trigger approvals and update production systems. The net opportunity therefore depends on whether usage- and workflow-based revenue grows faster than potential seat compression.

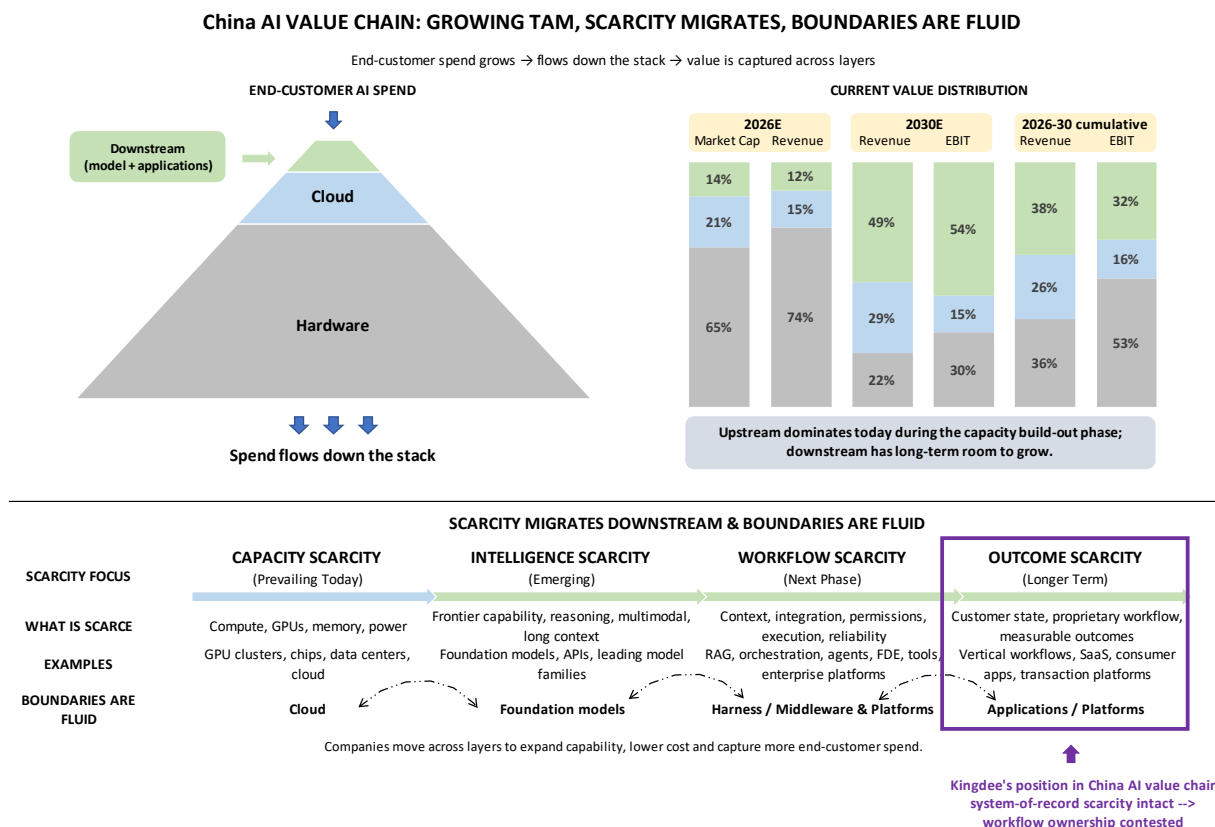
AI can also improve the supply economics of Chinese enterprise software. Coding agents, natural-language configuration, automated testing and reusable workflow agents can reduce development and implementation effort. This is particularly relevant in China, where customized delivery has historically limited SaaS margins and scalability. A sustained increase in revenue per employee, shorter deployment cycles and stronger cash conversion would indicate that AI is improving both customer economics and software delivery economics.

Competition should also broaden. Incumbent vendors enter the transition with installed workflows, proprietary enterprise context, distribution and systems of record. AI-native entrants can design products around agents from inception, with fewer legacy product and pricing constraints. They can build a new workflow interface while continuing to use incumbent ERP systems underneath for data and transaction execution. General-purpose agents create another route into the enterprise by connecting across multiple applications. The long-term application-layer value pool can therefore grow materially even as the share captured by individual incumbents becomes more contestable.

For Kingdee, the opportunity is attractive because finance, procurement, supply chain and HR contain large labor pools and workflows that ultimately require enterprise state and execution. Its investment case depends on whether this opportunity translates into **higher customer spending and better software economics while Kingdee retains sufficient control of the workflow**.

For more broad-based industry discussions, please refer to our [China AI value chain industry note: China AI value chain: The expanding pie and race for value: Initiate broader coverage](#).

Figure 1: Kingdee's position in China AI value chain



Source: Bloomberg Finance L.P., J.P. Morgan estimates. (date as of Sep 11, 2026)

Company and business model: from licenses to Cloud, with AI beginning a second transition

Kingdee is one of China's leading enterprise application vendors, covering financial management, supply chain, manufacturing, human resources, procurement and other core business functions. The company has spent much of the past decade undergoing its first major business model transition. The shift toward Cloud subscriptions required substantial upfront product, sales and customer-migration investment while moving revenue recognition toward a recurring model. The economic question has consequently changed. Subscription adoption itself is increasingly established; the focus moves toward existing-customer expansion, large-enterprise penetration, delivery efficiency and the conversion of recurring revenue into earnings and cash flow. Subscription revenue grew 20.4% YoY in 1H26 and ARR increased 18.3%, providing a relatively healthy base for this phase.

Large enterprises are increasingly important to the next stage. Growth in this segment therefore carries different economics from standardized SaaS: ARR and ACV need to rise together with deployment efficiency, revenue per employee and cash conversion. AI begins a second transition before the Cloud transformation has fully matured financially. When agents perform tasks directly, monetization can increasingly be tied to AI usage, actions or completed workflows. **License and implementation, then recurring Cloud subscription, then Cloud subscription + AI/workflow usage.** Kingdee's AI-native revenue increased 189% YoY to Rmb296mn in 1H26, while AI-native subscription revenue increased 283% to Rmb146mn. The gap between this growth and the 18.3% increase in group ARR is important. It suggests that the financial significance of AI should be assessed through its contribution to total customer spending rather than the growth rate of a relatively small new revenue line.

Our 2026-28E revenue and profit forecasts are broadly in line with Bloomberg consensus. We see upside to our estimates if paid AI adoption begins to lift ACV, NRR and consolidated ARR.

Scarcity: enterprise state, permissions and execution become more important as intelligence becomes cheaper

The source of scarcity within enterprise software is changing. Enterprise task execution requires a different set of inputs. These inputs change continuously and sit largely inside the enterprise and its operational software. Kingdee's installed position gives it access to several relevant scarcity pools: **live enterprise state, permissions, business rules, integrations and transaction execution.** These assets become particularly important as AI moves from answering questions toward performing actions. The scarcity is stronger in complex enterprises. Large organizations contain multiple subsidiaries, approval hierarchies, customized processes, regulatory requirements and integrations across numerous systems. Reconstructing this operating environment is difficult, while errors in financial or operational execution carry real costs. This supports the continuing role of ERP systems even as the intelligence layer becomes more capable.

We believe this gives Kingdee a credible base position in agent-driven enterprise software. An external agent still needs the underlying state and execution infrastructure to complete many real-world workflows. The ERP can therefore remain economically relevant even if employees spend less time inside its traditional interface. The financial value of this scarcity depends on where the monetization point settles. A third-party agent may interact with the employee, decide what action to take and call Kingdee only when enterprise data or execution is required. In this structure, Kingdee retains an important system role while the agent captures part of the incremental AI wallet.

Lingee is Kingdee's attempt to extend its system-of-record position toward this new workflow layer. Its strategic value increases if customers use it repeatedly to complete real tasks and pay incrementally for those workflows. We therefore place greater weight on **recurring workflow usage, paid attach, incremental ACV and NRR** than on agent launches or reported AI functionality.

Figure 2: Kingdee's enterprise agentic operating system, Lingee



Source: Company website (as of Sep 11, 2026).

Defensibility and value capture: system-of-record strength is durable; application layer can still be rebuilt around AI

Kingdee's defensibility needs to be considered across two competitive fronts: what models can absorb directly and whether another application can capture the remaining workflow. On the first dimension, we find Kingdee relatively well positioned. Replacing a production ERP system end-to-end is materially harder because the system contains live enterprise state, permissions, customized rules, integrations and execution capabilities. The second competitive dimension is more open. AI-native enterprise products can build finance, procurement, HR or operational workflows around agents from inception. They can use natural language and autonomous execution as the primary product interface, dynamically call different models and connect into incumbent ERP systems through APIs.

This creates a credible scenario in which Kingdee remains the system of record while an AI-native application becomes the system through which employees or agents increasingly perform work. The underlying ERP retains value from state and execution, while a larger share of incremental workflow economics accrues elsewhere. Incumbency provides meaningful advantages in this regard: Kingdee already has enterprise distribution, customer trust, embedded workflows and access to the systems required for execution. AI-native competitors have different advantages. The competitive outcome therefore depends on whether Kingdee can use its installed assets quickly enough to establish its own agent workflows before new products create alternative entry points into the customer. Kingdee's enterprise agentic operating system, Lingee, matters because it provides a route to retain the customer relationship above the system-of-record layer.

Value capture should ultimately be observable in the company's financials across a progression of increasingly demanding outcomes: **AI-enabled revenue, then incremental ACV/NRR, then consolidated ARR acceleration, then incremental gross profit, then FCF**. The first stage is already visible through rapid AI-native revenue growth, while higher gross profit and FCF would confirm that the incremental spending creates shareholder value after inference, model and delivery costs – these are at an earlier stage. Kingdee's AI-native subscription revenue grew 283% YoY in 1H26, while consolidated ARR grew 18.3%. Our estimates for 2026E/2027E revenue are broadly in line with Bloomberg consensus and assume gradual monetization rather than a near-term step-up in the consolidated growth trajectory.

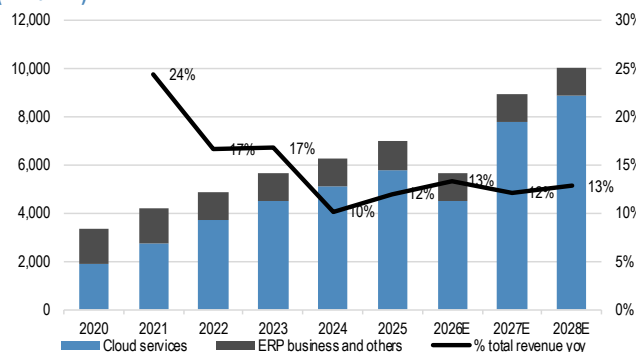
Financial quality and cash flow: Cloud operating leverage is emerging; cash conversion is the next test

Kingdee's financial quality is improving as the Cloud model matures. In 1H26, group revenue increased 13.6% YoY, subscription revenue 20.4% and ARR 18.3%. Gross profit increased 17.2% and gross margin reached 67.7%. Adjusted profitability improved, while revenue per employee increased 20.8% and selling and R&D expense ratios declined. This is consistent with the company's stage of growth as a maturing recurring software business. Product development, customer acquisition and migration require significant upfront spending; once the installed subscription base reaches scale, recurring revenue can grow faster than corporate costs. We expect continued operating leverage through 2028E, broadly consistent with consensus expectations.

Employee productivity is particularly relevant for Kingdee because large-enterprise software remains implementation-intensive. Cash conversion provides a stricter measure of financial quality. Subscription prepayments can create structurally favorable working capital, while large-enterprise implementations can absorb cash through delivery labor, receivables and project-related working capital. As accounting profitability improves, operating cash flow growth, cash conversion relative to adjusted profit and FCF margin should become increasingly important measures of whether Cloud economics are genuinely maturing. AI introduces another cost layer. The net financial effect therefore depends on whether incremental AI customer spending and internal productivity gains exceed inference and development costs.

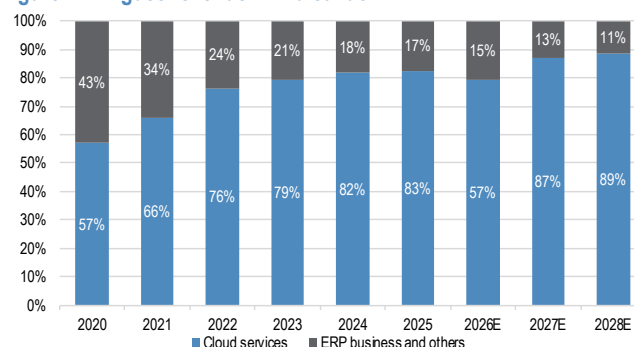
We would track this through **incremental AI gross profit, revenue per employee and FCF**, together with customer-level monetization. Rapid AI revenue growth with improving consolidated margins and cash conversion would provide strong evidence of favorable economics. Rapid AI revenue growth accompanied by limited ARR acceleration and weaker cash conversion would support a more cautious interpretation. We expect Kingdee's improving recurring revenue base to allow current AI and product investment to be funded internally. The capital allocation question therefore increasingly shifts toward returns on incremental investment. R&D and sales spending create value when they sustain recurring growth, improve customer economics and ultimately generate additional FCF. ROIC and FCF growth should become more useful indicators as the company moves further beyond the heavy Cloud investment phase.

Figure 3: Kingdee revenue forecasts and YoY growth (Rmb mn)



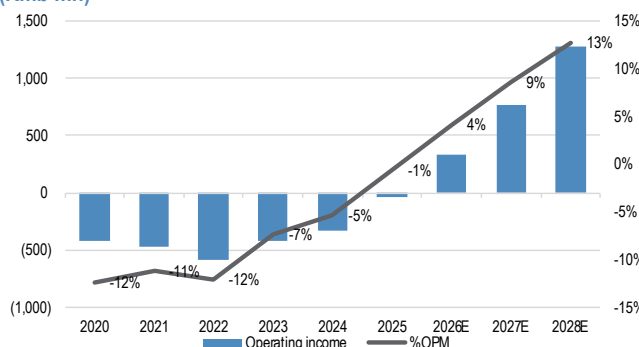
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 4: Kingdee revenue mix breakdown



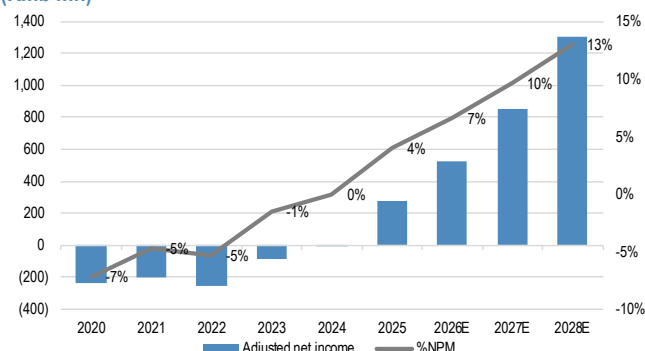
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 5: Kingdee operating profit and operating profit margin (Rmb mn)



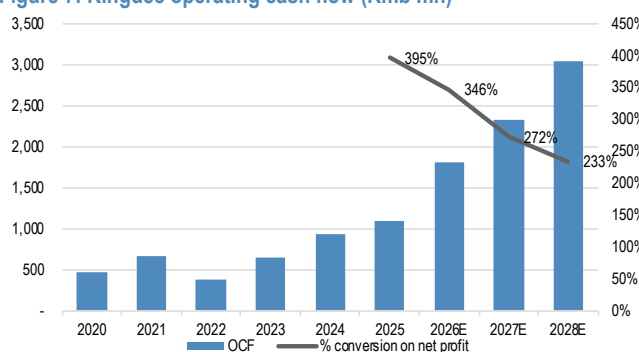
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 6: Kingdee adjusted net profit and net profit margin (Rmb mn)



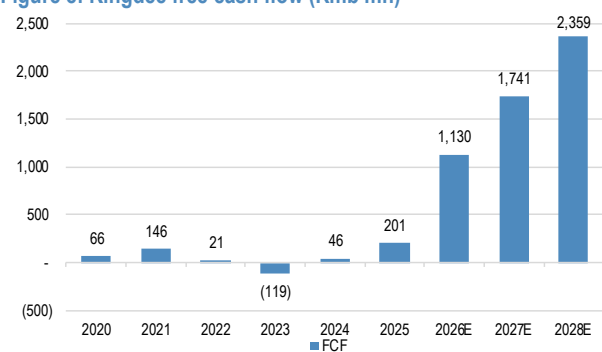
Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 7: Kingdee operating cash flow (Rmb mn)



Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Figure 8: Kingdee free cash flow (Rmb mn)



Source: Company annual reports 2020-2025, J.P. Morgan estimates.

Table 1: Kingdee's P&L

Rmb mn	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	4,174	4,866	5,679	6,256	7,006	7,941	8,904	10,043
YoY %	24%	17%	17%	10%	12%	13%	12%	13%
Cost of sales	1,541	1,868	2,035	2,185	2,302	2,562	2,872	3,240
Gross profit	2,634	2,998	3,644	4,071	4,704	5,379	6,032	6,803
Opex								
Selling and marketing expenses	(1,741)	(2,027)	(2,320)	(2,503)	(2,726)	(2,869)	(3,016)	(3,171)
Research and development expenses	(1,185)	(1,295)	(1,440)	(1,514)	(1,494)	(1,564)	(1,637)	(1,713)
General and administrative expenses	(466)	(504)	(490)	(539)	(647)	(688)	(726)	(766)
Net impairment losses on financial assets and contract assets	(79)	(92)	(71)	(41)	(43)	(45)	(50)	(40)
Fair value (losses)/gains on investment properties	4	(16)	(29)	(55)	(80)	(40)	(40)	(30)
Other income and gains, net	366	349	285	246	243	161	200	200
Operating expense	(3,100)	(3,585)	(4,064)	(4,406)	(4,746)	(5,046)	(5,269)	(5,520)
Operating profit/(loss)	(467)	(587)	(420)	(335)	(42)	333	762	1,283
Add: Equity-settled share-based compensation expenses	107	115	96	85	105	76	85	96
Adjusted operating profit/(loss)	(359)	(472)	(324)	(250)	63	409	847	1,379
% Adjusted OPM	-8.6%	-9.7%	-5.7%	-4.0%	0.9%	5.2%	9.5%	13.7%
Non-operating items								
Finance income/(costs), net	76	100	90	94	64	64	64	69
Share of profits less losses of associates and JVs	8	13	29	12	18	15	15	15
PBT	(382)	(474)	(301)	(230)	39	413	842	1,368
Income tax credits/(expense)	44	22	31	45	35	(20)	(126)	(205)
Net profit/(loss)	(338)	(452)	(270)	(184)	74	393	716	1,163
Non-controlling interests	(36)	(63)	(60)	(42)	(19)	(14)	(16)	(18)
Net profit/(loss) attributable to equity shareholders	(302)	(389)	(210)	(142)	93	407	731	1,180
Add: Equity-settled share-based compensation expenses	107	115	96	85	105	76	85	96
Add: Fair value (losses)/gains on investment properties	(4)	16	29	55	80	40	40	30
Adjusted net profit/(loss)	(199)	(258)	(85)	(2)	278	523	856	1,306
Per share (Rmb)								
Weighted average shares (m):								
Basic	3,276	3,440	3,456	3,545	3,515	3,511	3,511	3,512
Diluted	3,276	3,440	3,456	3,545	3,518	3,514	3,514	3,515
EPS (basic)	(0.09)	(0.11)	(0.06)	(0.04)	0.03	0.12	0.21	0.34
EPS (diluted)	(0.09)	(0.11)	(0.06)	(0.04)	0.03	0.12	0.21	0.34
Adjusted EPS (basic)	(0.06)	(0.08)	(0.02)	(0.00)	0.08	0.15	0.24	0.37
Adjusted EPS (diluted)	(0.06)	(0.08)	(0.02)	(0.00)	0.08	0.15	0.24	0.37

Source: Company annual reports 2021-2025, J.P. Morgan estimates.

Table 2: Kingdee's balance sheet

(Rmb mn)	2021	2022	2023	2024	2025	2026E	2027E	2028E
ASSETS								
Cash and cash equivalents	2,047	1,943	2,964	1,530	1,695	2,885	4,537	6,824
Short-term bank deposits	370	626	1,045	1,537	667	667	667	667
Pledged bank deposits	6	3	4	15	45	45	45	45
Trade and other receivables	392	293	364	416	412	457	512	578
Contract assets	323	347	362	366	449	500	561	633
Contract obtaining costs (current)	248	394	644	906	861	889	905	919
Loans to third parties (micro-credit)	305	268	232	241	356	356	356	356
Financial assets at FVPL (current)	750	66	43	576	1,278	1,278	1,278	1,278
Inventories	30	45	46	46	61	70	79	89
TOTAL CURRENT ASSETS	4,471	3,984	5,703	5,632	5,823	7,147	8,939	11,388
Long-term bank deposits	1,325	1,725	1,680	1,094	1,390	1,390	1,390	1,390
Property, plant and equipment	1,045	1,377	1,920	1,744	1,874	1,953	2,024	2,105
Right-of-use assets	208	156	203	188	225	189	149	104
Intangible assets (incl. goodwill)	1,037	1,192	1,232	1,232	1,433	1,339	1,234	1,115
Investment properties	1,538	1,734	1,727	2,165	1,941	1,901	1,861	1,831
Interests in associates	393	422	435	523	532	547	563	578
Deferred income tax assets	35	39	49	103	126	126	126	126
Financial assets at FVPL (non-current)	958	931	965	873	847	847	847	847
Loans to third parties (non-current)	24	63	90	130	98	98	98	98
Other non-current assets	53	109	136	97	65	65	65	65
Contract obtaining costs (non-current)	-	-	-	-	233	233	233	233
TOTAL NON-CURRENT ASSETS	6,616	7,748	8,436	8,149	8,763	8,688	8,590	8,491
TOTAL ASSETS	11,087	11,732	14,139	13,781	14,586	15,835	17,528	19,879
LIABILITIES AND EQUITY								
Current liabilities:								
Trade and other payables	759	900	1,231	1,488	1,757	2,001	2,244	2,559
Contract liabilities	2,165	2,631	3,177	3,724	3,815	4,351	5,001	5,778
Bank borrowings (current)	-	85	20	205	-	-	-	-
Lease liabilities (current)	26	25	27	22	23	23	23	23
Current income tax liabilities	18	19	23	16	16	16	16	16
TOTAL CURRENT LIABILITIES	2,968	3,659	4,477	5,455	5,611	6,392	7,284	8,376
Contract liabilities (non-current)	-	-	-	-	571	571	571	571
Bank borrowings (non-current)	-	385	757	-	-	-	-	-
Lease liabilities (non-current)	54	39	38	26	19	19	19	19
Deferred income	116	107	52	25	26	26	26	26
Deferred income tax liabilities	146	134	113	146	150	150	150	150
Other non-current liabilities	-	-	-	-	-	-	-	-
TOTAL LIABILITIES	3,284	4,324	5,437	5,652	6,377	7,158	8,050	9,142
Shareholders' equity:								
Share capital	84	84	87	86	85	85	85	85
Share premium	5,149	5,085	6,512	6,174	5,988	5,988	5,988	5,988
Other reserves	744	867	979	911	1,163	1,238	1,323	1,419
Retained earnings	1,620	1,230	1,020	878	971	1,379	2,110	3,290
Total equity attributable to owners of the Company	7,597	7,265	8,599	8,050	8,208	8,691	9,507	10,783
Non-controlling interests	207	142	103	79	1	(13)	(28)	(46)
TOTAL EQUITY	7,803	7,408	8,702	8,129	8,209	8,678	9,478	10,737

Source: Company annual reports 2021-2025, J.P. Morgan estimates.

Table 3: Kingdee's cash flow statement

(Rmb mn)	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating activities								
Net profit/(loss)	(338)	(452)	(270)	(184)	74	393	716	1,163
Depreciation of property, plant and equipment	38	49	47	72	80	95	107	121
Depreciation of right-of-use assets	34	31	29	31	32	36	40	45
Amortization of intangible assets	367	333	423	495	539	603	668	743
Equity-settled share-based compensation expenses	107	115	96	85	105	76	85	96
Net impairment losses (financial assets, contract assets and goodwill)	79	93	91	41	65	0	0	0
Fair value (losses)/gains on investment properties	(4)	16	29	55	80	40	40	30
(Gains)/losses on financial assets at FVPL	(77)	(23)	51	46	(5)	0	0	0
Finance income	(82)	(108)	(112)	(110)	(68)	(64)	(64)	(69)
Finance costs	5	8	22	17	4	0	0	0
Share of (profits)/losses of associates	(8)	(13)	(29)	(12)	(18)	(15)	(15)	(15)
(Gains)/losses on disposal and other adjustments	6	(18)	21	(3)	1	0	0	0
Net changes in working capital	488	512	485	458	885	646	752	930
Interest paid	(6)	(3)	(18)	(13)	(1)	0	0	0
Income tax paid	(7)	(4)	(4)	(5)	(3)	0	0	0
Others	60	(162)	(209)	(39)	(672)	0	0	0
Net cash provided by operating activities	661	374	653	934	1,098	1,810	2,328	3,043
Cash flows from investing activities								
Purchases of property, plant and equipment	(323)	(399)	(417)	(191)	(137)	(175)	(178)	(201)
Purchases of intangible assets	(449)	(488)	(480)	(489)	(450)	(510)	(563)	(625)
Proceeds from disposal of property, plant and equipment	1	29	3	2	1	0	0	0
Net placement of bank deposits	(407)	(653)	(376)	84	544	0	0	0
Interest received	48	58	43	90	137	64	64	69
Net purchases of financial assets at FVPL	(39)	691	(74)	(498)	(682)	0	0	0
Acquisition of subsidiaries, net of cash acquired	(50)	0	(9)	0	(32)	0	0	0
Investments in / disposals of associates, net	0	2	5	(71)	13	0	0	0
Loans to third parties (micro-credit), net	0	0	(23)	0	0	0	0	0
Others	15	(27)	23	0	(1)	0	0	0
Net cash used in investing activities	(1,205)	(787)	(1,305)	(1,074)	(607)	(620)	(676)	(756)
Cash flows from financing activities								
Proceeds from share issues	0	0	1,412	0	0	0	0	0
Share options exercised	15	25	6	7	10	0	0	0
Proceeds from borrowings	0	503	480	5	0	0	0	0
Repayments of borrowings	(120)	(30)	(173)	(577)	(200)	0	0	0
Capital element of lease rentals paid	(33)	(32)	(37)	(38)	(70)	0	0	0
Dividends paid	0	0	0	0	0	0	0	0
Share buy-backs	(36)	(168)	0	(544)	(37)	0	0	0
Purchases of shares for share award plan	0	0	(61)	(164)	(18)	0	0	0
Capital reduction from NCI and other	30	3	45	18	(6)	0	0	0
Others	0	(0)	0	(0)	0	0	0	0
Net cash provided by/(used in) financing activities	(144)	301	1,671	(1,291)	(321)	-	-	-
Exchange gain/(loss)	(19)	8	1	(2)	(4)	0	0	0
Net increase/(decrease) in cash and cash equivalents	(707)	(104)	1,021	(1,434)	165	1,190	1,652	2,287
Beginning cash	2,754	2,047	1,943	2,964	1,530	1,695	2,885	4,537
Cash and cash equivalents at end of period	2,047	1,943	2,964	1,530	1,695	2,885	4,537	6,824

Source: Company annual reports 2021-2025, J.P. Morgan estimates.

Valuation and shareholder returns: earnings provide a firmer anchor; AI requires additional evidence for rerating

We assume coverage of Kingdee at **Neutral** with a Dec-27 price target of HK\$8.3, based on 20x 2028E P/E, which is at a modest premium to Meitu and JST because 2028E earnings remain relatively early in the company's profitability normalization. Kingdee is transitioning from a prolonged cloud-investment phase toward sustainable profitability, with improving gross margin, lower incremental investment intensity and operating leverage creating substantially faster earnings growth than revenue growth. As a result, 2028E profit should still sit below the earnings level achievable under a more mature margin structure, making a simple comparison with companies already operating near steady-state profitability less appropriate.

Kingdee also retains meaningful strategic assets through its system-of-record position, large-enterprise installed base and access to proprietary enterprise data, permissions and transaction workflows, which can support incremental AI monetization over time. **Our 20x 2028E target P/E therefore captures both the current earnings inflection and the remaining runway for margin normalization**, with further upside requiring sustained positive cash flow, stronger large-enterprise execution and evidence that AI converts workflow ownership into incremental revenue.

Table 4: JPMe vs consensus

YE 31 Dec	FY2026E			FY2027E		
(Rmb mn)	JPMe	Consensus	% delta	JPMe	Consensus	% delta
Net revenues	7,941	7,950	0%	8,904	9,023	-1%
Cloud services	6,741			7,752		
ERP business and others	1,199			1,152		
Gross profit	5,379	5,423	-1%	6,032	6,245	-3%
Selling and distribution expenses	(2,869)			(3,016)		
R&D expenses	(1,564)			(1,637)		
G&A expenses	(688)			(726)		
Operating profit	333	289	15%	762	623	22%
PBT	413	427	-3%	842	795	6%
Net income	407	422	-3%	731	766	-4%
Net income, adjusted	523	433	21%	856	766	12%
EPS (Rmb/share)	0.1	0.1	0%	0.2	0.2	-3%
Adjusted EPS (Rmb/share)	0.1	0.1	27%	0.2	0.2	14%
Margin analysis (%)						
Gross margin	67.7%	68.2%	-0.5%	67.7%	69.2%	-1.5%
Operating margin	4.2%	3.6%	0.6%	8.6%	6.9%	1.7%
Net margin	5.1%	5.3%	-0.2%	8.2%	8.5%	-0.3%
Net margin, adjusted	6.6%	5.4%	1.1%	9.6%	8.5%	1.1%

Source: Bloomberg Finance L.P. estimates (date as of Sep 21, 2026), J.P. Morgan estimates.

Historical share price analysis: market has shifted from cloud growth toward earnings conversion and AI proof

The past several years illustrate how Kingdee's valuation framework has evolved. 2022-24 shifted the debate toward earnings conversion. Higher discount rates compressed long-duration software multiples, while investors increasingly focused on the cost of Cloud migration, implementation intensity and the pace at which subscription growth could translate into profit and cash. Revenue growth alone carried less valuation support as the market demanded evidence of operating leverage.

Figure 9: Historical stock price analysis



Source: J.P. Morgan estimates, Bloomberg Finance L.P. (date as of September 21, 2026).

Investment risks

Downside risks

The main risks to our Neutral rating relate to the enterprise IT spending environment, the competitive structure of the agentic transition, and whether AI creates genuinely incremental customer spending that Kingdee can capture while improving financial returns. Kingdee has strong system-of-record assets, enterprise data, permissions and transaction capabilities, which should remain important as agents enter core business workflows. The key question is whether these assets translate into higher consolidated ARR and better economics, rather than simply shifting customer budgets between existing ERP and new AI products. We see five main risks: weaker enterprise IT spending, competition from Yonyou and AI-native vendors, slower conversion of AI adoption into consolidated revenue, continued implementation intensity in large enterprises, and limited improvement in incremental margins and cash generation.

- **Weaker enterprise IT spending could slow subscription and ARR growth.** A softer spending environment would lengthen sales cycles and delay module and seat expansion, slowing consolidated ARR and revenue growth regardless of product competitiveness. It would also make AI monetization harder to distinguish from budget reallocation.
- **Competition from Yonyou, AI-native vendors and customer-developed systems could weaken Kingdee's ownership of the customer workflow.** Kingdee's strongest assets sit in systems of record that contain enterprise data, permissions, business rules and transaction execution, and should remain necessary even if the user interface changes. The risk is that AI-native applications, model providers or general-purpose agents become the main layer through which employees interact with enterprise systems, leaving Kingdee deeply embedded underneath while capturing a smaller share of incremental AI spending. Competition for that incremental pool is widening at the same time, as existing ERP vendors build similar capabilities and large enterprises develop more internally. Kingdee therefore needs to prove that Kingdee can own recurring workflows and agent execution, rather than simply provide data and APIs to third-party agents.
- **Large-enterprise growth could remain operationally intensive.** Complex enterprise deployments require integration, migration, customization and organizational change. Faster growth in large accounts may therefore increase delivery resources before revenue fully scales. If each new customer requires substantial engineering and implementation work, revenue per employee, margins and cash conversion may improve more slowly than expected. Our estimates assume that accumulated product capabilities and implementation experience gradually increase reuse. Stronger large-enterprise growth accompanied by improving deployment efficiency would provide much better evidence of scalable economics than contract wins alone.
- **Seat compression and higher inference costs could limit incremental margins and cash generation.** Kingdee's cloud transition has already improved recurring revenue and gross margin, but the quality of the next phase depends on operating leverage and cash conversion. Agents could also reduce the number of users required per process, putting pressure on seat-based revenue. Higher inference costs, implementation spending or customer-acquisition costs could reduce the benefit of stronger revenue growth, and working-capital requirements could delay cash generation. We would therefore focus on gross profit growth, operating cash flow and FCF alongside reported earnings. AI becomes more valuable to

shareholders when incremental customer spending converts into incremental cash profit.

Upside risks

The main upside risks to our Neutral rating would be:

- **Faster AI-native product adoption.** Faster-than-expected Lingee adoption, rising attach rates and recurring rather than pilot workflow usage would indicate stronger demand than we assume. Incrementality would still need to be confirmed through higher total customer spending rather than substitution within existing contracts.
- **Stronger subscription growth.** Sustained cloud subscription growth and accelerating consolidated ARR and revenue growth would be the most visible nearer-term catalyst, and would support earnings upside independent of AI monetization.
- **Higher ACV and NRR.** Evidence that existing customers are spending more each year, through higher ACV and NRR alongside incremental spending per customer, would demonstrate wallet expansion rather than budget reallocation and would validate a second growth curve.
- **Greater operating leverage as the business scales.** Stronger large-enterprise growth with improving revenue per employee, gross margin, expense leverage and cash conversion would support the productization thesis and demonstrate scalable economics rather than contract wins alone.

We would become more constructive if **AI growth becomes visible simultaneously in consolidated ARR, customer spending, gross profit and free cash flow**, demonstrating that Lingee is creating an incremental earnings pool rather than simply adding a fast-growing product line.

Investment Thesis, Valuation and Risks

Kingdee International Software Group Company Limited (Neutral; Price Target: HK\$8.30)

Investment Thesis

We rate Kingdee Neutral as its system-of-record position provides meaningful residual scarcity in an increasingly agentic enterprise software environment, while evidence of incremental AI value capture is developing. Financial records, permissions, business rules and workflow execution remain necessary even when agents become the user interface, giving Kingdee a durable role in enterprise automation. AI can expand the amount of finance, supply chain and HR work performed through its platforms, although this would need to translate into higher AI-enabled revenue, ACV, NRR and consolidated revenue growth. We see improving profitability, with further rerating dependent on clearer AI-driven revenue acceleration.

Valuation

Our Dec-27 PT of HK\$8.3 is based on 20x 2028E P/E. We assign a premium to mature application peers trading at around 15x 2028E P/E given Kingdee's transition into sustained profitability, its recurring subscription base and strategic position in enterprise systems of record. Our target multiple reflects Kingdee's cloud transition and earnings inflection, while clearer AI-driven revenue acceleration would be required to justify a higher multiple.

Risks to Rating and Price Target

Upside risks include: faster AI-native product adoption, stronger subscription growth, higher ACV/NRR, and greater operating leverage as the business scales.

Downside risks include: weaker enterprise IT spending; competition from Yonyou, AI-native vendors and customer-developed systems; and slower conversion of AI adoption into consolidated revenue. In addition, seat compression, higher inference costs or continued implementation intensity could also limit incremental margins and cash generation.

Kingdee International: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Reported Revenue	6,256	7,006	7,941	8,904	10,043	Cash flow from operating activities	934	1,098	1,810	2,328	3,043
Adj. EBITDA	684	756	810	900	1,005	o/w Depreciation & amortization	599	651	735	815	909
EBITDA	684	756	810	900	1,005	o/w Changes in working capital	458	885	646	752	930
EBIT	85	105	76	85	96	Cash flow from investing activities	(1,074)	(607)	(620)	(676)	(756)
Non-Operating Income (expense)	-	-	-	-	-	o/w Capital expenditure	(681)	(587)	(684)	(741)	(825)
Net Interest	94	64	64	64	69	as % of sales	10.9%	8.4%	8.6%	8.3%	8.2%
PBT	(230)	39	413	842	1,368	Cash flow from financing activities	(1,291)	(321)	0	0	0
Tax	45	35	(20)	(126)	(205)	o/w Dividends paid	0	0	0	0	0
Minority Interest	42	19	14	16	18	o/w Shares issued/(repurchased)	(544)	(37)	0	0	0
Net Income	(142)	93	407	731	1,180	o/w Net debt issued/(repaid)	(572)	(200)	0	0	0
EPS	(0.04)	0.03	0.12	0.21	0.34	Net change in cash	(1,434)	165	1,190	1,652	2,287
Core EPS	(0.00)	0.08	0.15	0.24	0.37	Adj. Free cash flow to firm	143	505	1,065	1,533	2,159
DPS	-	-	-	-	-	y/y Growth	(141.9%)	254.0%	110.9%	44.0%	40.9%
Payout Ratio	-	-	-	-	-						
Shares outstanding	3,545	3,518	3,514	3,514	3,515						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,530	1,695	2,885	4,537	6,824	EBITDA margin	10.9%	10.8%	10.2%	10.1%	10.0%
Accounts receivable	416	412	457	512	578	EBIT margin	(4.0%)	0.9%	5.2%	9.5%	13.7%
Inventories	46	61	70	79	89	Net profit margin	(0.0%)	4.0%	6.6%	9.6%	13.0%
Other current assets	3,640	3,655	3,735	3,811	3,897	ROE	(0.0%)	3.4%	6.2%	9.4%	12.9%
Current assets	5,632	5,823	7,147	8,939	11,388	ROA	(0.0%)	2.0%	3.4%	5.1%	7.0%
PP&E	1,744	1,874	1,953	2,024	2,105	ROCE	(3.4%)	0.1%	4.6%	7.9%	11.6%
LT investments	1,967	2,237	2,237	2,237	2,237	SG&A/Sales	48.6%	48.1%	44.8%	42.0%	39.2%
Other non current assets	4,438	4,652	4,498	4,328	4,149	Net debt/Equity	NM	NM	NM	NM	NM
Total assets	13,781	14,586	15,835	17,528	19,879	Net debt/EBITDA	NM	NM	NM	NM	NM
Short term borrowings	205	0	0	0	0	Sales/Assets (x)	0.4	0.5	0.5	0.5	0.5
Payables	1,488	1,757	2,001	2,244	2,559	Assets/Equity (x)	1.7	1.7	1.8	1.8	1.8
Other short term liabilities	3,762	3,854	4,390	5,040	5,817	Interest cover (x)	NM	NM	NM	NM	NM
Current liabilities	5,455	5,611	6,392	7,284	8,376	Operating leverage	(223.9%)	(1043.8%)	4117.1%	882.3%	490.8%
Long-term debt	0	0	0	0	0	Tax rate	(19.8%)	88.5%	4.8%	15.0%	15.0%
Other long term liabilities	197	766	766	766	766	Revenue y/y Growth	10.2%	12.0%	13.3%	12.1%	12.8%
Total liabilities	5,652	6,377	7,158	8,050	9,142	EBITDA y/y Growth	14.9%	10.5%	7.2%	11.0%	11.7%
Shareholders' equity	8,050	8,208	8,691	9,507	10,783	EPS y/y Growth	(98.0%)	(16278.4%)	88.7%	63.7%	52.5%
Minority interests	79	1	(13)	(28)	(46)						
Total liabilities & equity	13,781	14,586	15,835	17,528	19,879						
BVPS	2.27	2.34	2.48	2.71	3.07						
y/y Growth	(8.8%)	2.8%	6.0%	9.4%	13.4%	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
Gross debt	205	0	0	0	0	P/E (x)	NM	80.9	42.9	26.2	17.2
Net debt/(cash)	(1,325)	(1,695)	(2,885)	(4,537)	(6,824)	P/BV (x)	2.8	2.7	2.6	2.4	2.1
						EV/EBITDA (x)	32.1	28.4	25.0	20.7	16.2
						Dividend Yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Kingdee International (0268.HK, 268 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
02-Apr-24	OW	8.83	13
18-Aug-24	OW	5.84	10
18-Mar-25	OW	15.14	17.5
12-Aug-25	OW	17.47	18
12-Aug-26	OW	8.99	12

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 15, 2011. All share prices are as of market close on the previous business day.

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